EXECUTIVE SUMMARY

A. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo", along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueño can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for CY 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Iguig for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Accounts	2020	2019	Increase/ (Decrease)
Assets	335,779,218.38	223,942,121.14	111,837,097.24
Liabilities	196,728,402.27	99,057,280.03	97,671,122.24
Government Equity	139,050,816.11	124,884,841.11	14,165,975.00
Income	139,648,447.21	115,227,409.44	24,421.037.77
Expenses	129,082,167.67	107,096,043.41	21,986,124.26
Appropriation	144,151,651.12	175,048,063.32	(30,896,412.20)
Obligations	134,762,485.50	169,038,458.20	(34,275,972.70)

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2020, with comparative figures for CY 2019, are shown below:

Fund Transferred to Other Agencies	2020	2019	Increase/ (Decrease)
Local Gov't Units	0.00	0.00	0.00

Fund Transferred from Other Agencies	2020	2019	Increase/ (Decrease)
Nat'l Gov't Offices	53,964,055.00	11,482,819.04	42,481,235.96
Local Gov't Units	200,000.00	0.00	200,000.00

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Iguig as of December 31, 2020 due to the following:

1. Liquidation documents pertaining to the Cash Advances granted to the Disbursing Officer for various programs totaling to P5,365,000.00 were not yet submitted to COA, which is not in accord with Section 83 of the Local Government Accounting Manual, and Section 7.2.1(a) of COA Circular 2009-006; likewise, the liquidation documents of funds transferred to other agencies and non-governmental organizations subject to liquidation totaling to P160,230.00 were also not submitted, resulting to delayed review and communication of audit result, thus, maybe suspended in audit.

2. Procurement of food supplies, welfare goods, drugs and medicines, medical, dental and laboratory supplies, for distribution and consumption under the Bayanihan Grant to Cities and Municipalities totaling P8,028,404.60 were recorded as a debit to Due to NGAs, while similar transactions under the DRRM Funds and the 20% Development Fund amounting to P1,888,512.00 and P3,746,981.00, respectively, were debited as outright expenses, which are not in accord with Sections 187, 188, and 190, Volume 1 of the Local Government Accounting Manual, thus, casting doubt on the reliability of the Inventory Balances and the propriety of distribution and consumption of the goods.

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations:

1. The Municipality may have a low capacity to provide funds to meet its currently maturing obligations and commitments, and those that will mature within the next 12 months because of a possible cash deficit sustained in the General Fund,

which is an indication of a weak or poor financial planning, and not in consonance with Section 305(g) of RA 7160, that may result to surcharges/penalties and additional interests, and might also compromise/delay the implementation of other priority programs of the LGU.

We recommended that the Local Chief Executive adopt strategic courses of action and instruct the following:

1) The Finance Committee to strive to improve their cash management with a view of meeting the Municipality's obligation as they become due;

2) The Budget Office to re-assess their budget planning to execution processes to ascertain and pinpoint the cause/s of incurrence of cash deficit and to work out and aggressively pursue feasible solutions that can address the issue involving the fiscal operation of the Municipality.

3) The Local Finance Committee to carefully determine the projected revenues and income that can be reasonably collected in line with its mandate to generate adequate revenue and income for the Municipality;

4) The Municipal Treasurer to intensify tax campaign activity and issue notices or demand letters to delinquent real property taxpayers for the settlement of unpaid local taxes; and

5) The Business Licensing and Permit Office (BPLO) to monitor and enforce necessary revenue measures to all business enterprises on the payment of permits and licenses in order to attain the projected revenues of the Municipality.

2. The Municipality did not prepare and submit the Reports on the Receipt and Utilization of the DRRMF, sourced from the National Disaster Risk Reduction and Management Fund, and cash donations from the different sources, totaling to P 2,029,260.00, as required under COA Circular 2014-002 dated April 15, 2014, which resulted to the delay in the review of the receipt and utilization of cash donations and the communication of audit results.

We recommended that the Management require the Municipal Accountant and Municipal Budget Officer to prepare and submit the Reports on the Receipt and Utilization of the DRRMF sourced from NDRRMF under the FY 2020 GAA and other Cash Donations to the Office of the Civil Defense, and copy furnish the Audit Team within five (5) days from receipt hereof.

We also recommended that the Management comply strictly with COA Circular 2014-002 dated April 15, 2014 to avoid delay in the review of the receipt and utilization of cash donations and the communication of audit results.

3. Various receipts of drugs, medicines, medical supplies, and medical equipment from the Department of Health were not recorded in the books of accounts, which is not in accord with Sections 187,188,189 and 210, Volume 1 of the Local Government Accounting Manual, resulting to the understatement of various asset and income accounts, thus affecting the fairness of the presentation of the financial statements.

   We recommended that for future similar transactions, the Municipal Health Office notify the General Services Office of the receipt and inspection of the goods, before distribution. The GSO shall likewise furnish the same to the Accounting Office for the necessary recording of the receipt and issuance in the books of accounts. For the unrecorded transactions, the Accounting Office shall make the necessary adjustment in the books of accounts to correct the affected accounts and for fair and reliable financial statements.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2020:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	10,000,000.00	0.00	0.00	10,000,000.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	**10,000,000.00**	**0.00**	**0.00**	**10,000,000.00**	**0%**
Disallowances					
Prior Years	14,775.00	0.00	0.00	14,775.00	0%
Current Year	3,221,750.00	0.00	0.00	3,221,750.00	0%
Total	**3,236,525.00**	**0.00**	**0.00**	**3,236,525.00**	**0%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0%**

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 16 audit recommendations embodied in the 2019 Annual Audit Report, 11 were fully implemented, four (4) were partially implemented, and one (1) was not implemented